

## NEW FORECAST

From the time the Budget was presented, when India was seen to grow by 6.8% to 7.2% this fiscal, with upside to growth projections, most economists and agencies believe that GDP growth will slow down and have revised projections to anywhere between 6.5% and 6.9%. Another year of 7% growth in FY27, which was once seen to be within reach, now looks out of the question.

The main reason for this is the continuing high prices of crude oil, with Brent crude remaining above \$100 a barrel. This is seen to be a major drag on growth and will spur inflation. Most agencies expect crude oil prices to average \$90-95 per barrel this year and warn that commodity prices will also remain high, even if the war were to end immediately. Accordingly, retail inflation, which has been climbing over the past few months, is now seen to average close to 5% this fiscal. CPI inflation at a 14-month high of 3.48% came as a pleasant surprise to most analysts who have warned that the real pain is yet to start. But wholesale price index (WPI)-based inflation at 8.3% in April and the ensuing fuel price hike indicate that retail prices are also set to rise sharply in the coming months and will be reflected in the data for May and June.

“The downside risks to the economy have begun materialising with over two months of unresolved West Asia conflict. The closure of the Strait of Hormuz has created the largest energy shock on record alongside trade and supply chain disruption,” notes a recent report by Crisil, which has lowered GDP growth forecast to 6.6% for FY27 and CPI inflation to 5.1%.

Crisil Intelligence has revised its Brent crude price forecast to \$90-95 per barrel for fiscal 2027 from \$82-87. “Besides the repercussions of the ongoing West Asia conflict, El Niño conditions leading to sub-normal monsoon are also expected to impact India’s growth-inflation mix this fiscal,” it said.



PHOTO BY CHANDRADEEP KUMAR

**“...INDIA IS FACING THIS HUGE GLOBAL ENERGY CRISIS STRONGLY. BUT NOW THE DEMAND OF THE TIME IS THAT PETROL, DIESEL, GAS, [ETC], SHOULD BE USED WITH GREAT RESTRAINT”**

**PRIME MINISTER NARENDRA MODI**